



Zensar Tech's Q1FY23 performance was largely in-line with our expectations – revenue and PAT were marginally above our estimates whereas EBITDA margins were in-line with our estimates. Order-book was robust at \$125 Mn with a 29% yoy growth

- \$ revenue: \$155.9 Mn, +1.8% qoq (+3.1% in cc terms) / +27.4% yoy (+26.3% in cc terms) and 0.8% above our estimates
- INR revenue at 12,034 Mn, +4.3% qoq / +28.5% yoy and +3.7% above our estimates
- EBITDA: INR 1,361 Mn, -17.2% qoq / -21.1% yoy and +3.1% above our estimates
- EBITDA margins: 11.3%, vs 14.2% / 18.4% in Q4FY22 / Q1FY22 respectively and _10 bps below our estimates_
- EBIT: INR 871 Mn, -25% qoq / -33% yoy and +6% above our estimates
- EBIT margins: 7.2%, vs 10.1% / 18.4% in Q4FY22 / Q1FY22 respectively and 10 bps lower than estimates
- Operating profitability was largely impacted due to heightened cost of delivery as subcontracting costs came 14.2% higher than our estimates and lower utilization rates
- PAT: INR 751 Mn, -42.6% qoq / -26.8% yoy and 0.9% above our estimates.
- EPS at INR 3.3 in Q1FY23 vs 5.8 / 4.5 in Q4FY22 / Q1FY22 respectively and in-line with our estimates
- Orderbook stood at \$ 125 Mn vs \$166 Mn / \$97 Mn in Q3FY22 / Q4FY21
- Attrition came in at 28.1% versus 27.9% qoq / 18.1% yoy

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	41,817	37,814	42,437	50,332	56,157
EBITDA	5,071	6,848	6,566	5,979	7,845
Adjusted net profit	2,716	3,561	4,216	3,481	4,996
Free cash flow	6,101	11,550	8,000	7,486	9,261
EPS (Rs)	12.0	15.8	18.7	15.4	22.1
growth (%)	-15%	31%	18%	-17%	44%
P/E (x)	19.6	17.3	12.6	15.3	10.6
P/B (x)	2.5	2.3	2.0	1.8	1.6
EV/EBITDA (x)	10.1	6.8	6.4	6.6	4.6
D/E	-	-	-	-	-
ROCE (%)	14.1	19.0	16.8	12.8	16.9
RoE (%)	13.5	16.1	16.9	12.5	16.1
Dividend yield (%)	1.2	1.5	1.6	1.6	2.4

Source: Company

Rating	TP (Rs)	Up/Dn (%)
BUY	309	32

Market data

Current price	Rs	235
Market Cap (Rs.Bn)	(Rs Bn)	53
Market Cap (US\$ Mn)	(US\$ Mn)	667
Face Value	Rs	2
52 Weeks High/Low	Rs	587 / 221.65
Average Daily Volume	('000)	3,945
BSE Code		504067
Bloomberg		ZENT.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	49.16	49.09
Public	50.84	50.91
Total	100	100

Source: Bloomberg

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Segment-wise Performance

- **Banking** (18.8% of revenue) led the pack with an 8.1% qoq growth
- **Consumer Services** (16.7% of revenue) saw a soft quarter (-0.4% qoq) as company witnessed reduction in discretionary spends from clients
- **Hi-Tech** (27.4% of revenue) performance was muted during the quarter as clients have either deferred or completely cut down spends

Concall Highlights

- Margins trajectory: Margin aspiration of achieving mid-teens is pushed back by a couple of quarters to Q2FY24 . Depending on levers such as nurturing organic talent (freshers program), improving attrition rates and offshore client mix, and reduction of subcon expenses. Wage hike to impact margins in Q2FY23.
- Gross Margin stood at 26.6% decline of 360 bps QoQ, due to higher cost of delivery (-250 bps), Volume and Utilization impact (-100 bps) and exchange rate impact (-10 bps).
- Order book TCV of \$125 Mn supported by multiple wins across verticals with a healthy mix of New and Renewal deals, is broad-based and healthy mix of discretionary and non-discretionary.
- Scaled 2 clients to \$10 Mn category during Q1 with a total of 13 clients in this category. Dependence on top 5 clients has come down from 38.4% to 33.4% YoY.
- Attrition at 28.1% in Q1 vs 27.9% in Q4 on LTM basis continues to be on the higher side but should gradually improve by 5-7% over the next few quarters.
- DSO decreased by 7 days to 83 days vs 90 days compared to last quarter.
- Gross addition of 1,220 headcounts during the quarter which included good fresher intake. Utilization should be down in the short term due to the fresher intake but should normalize going forward.
- Geographically, US performed well driven by the growth in BFSI vertical. Added new logos during the quarter which should deliver in the forthcoming quarters. Europe grew on the back of growth across verticals and service lines and continues to have good traction from both long standing and new clients. South Africa rebounded in its performance driven by new deals across BFSI and in Cloud and Advanced engineering.
- Industry-wise: BFSI continues to perform well due to consistent addition of new clients and scaling up of some top existing clients | Consumer Services saw a slight decline due to some reduction in discretionary spends in this sector | Hi-Tech & Manufacturing saw a muted growth with a slowdown being seen in this vertical.
- ETR has decreased to 26.3% in Q1 vs 27% in Q4.
- Advanced Engineering Services (AES), Data Engineering & Analytics and Platform services continue to grow and gain momentum

Quarterly Deviation Sheet

YE March (Rs. Mn)	Q1 FY23	Q4 FY22	Q-o-Q change %	Q1 FY22	Y-o-Y change %	Q1 FY23 estimates	Deviation %
Net Sales (US\$ Mn)	155.9	153.2	1.7%	127.2	22.6%	154.7	0.8%
Net Sales (INR Mn)	12,034	11,538	4.3%	9,368	28.5%	11,601	3.7%
Less:							
Employee benefits expense	7,401	7,118	4.0%	5,495	34.7%	7,528	(1.7%)
Subcontracting costs	1,987	1,770	12.3%	1,156	71.9%	1,740	14.2%
Purchase of traded goods	472	253		348		254	
Other expenses	813	754		643		758	
Total Operating Expenditure	10,673	9,895	7.9%	7,642	39.7%	10,280	3.8%
EBITDA	1,361	1,643	(17.2%)	1,726	(21.1%)	1,320	3.1%
EBIT	871	1,162	(25.0%)	1,300	(33.0%)	822	6.0%
Less: Depreciation	490	481	1.9%	426	15.0%	498	(1.7%)
Less: Interest	64	89	(28.1%)	89	(28.1%)	98	
Add: Other income	213	723	(70.5%)	184	15.8%	289	(26.2%)
Profit Before Tax	1,020	1,796	(43.2%)	1,395	(26.9%)	1,013	0.7%
Adjusted Profit s	1,020	1,796	(43.2%)	1,395	(26.9%)	1,013	
Less: Total Tax	269	488	(44.9%)	369	(27.1%)	268	
PAT	751	1,308	(42.6%)	1,026	(26.8%)	744	0.9%
Adjusted PAT	751	1,308	(42.6%)	1,026	(26.8%)	744	0.9%
Reported Diluted EPS (Rs.)	3.3	5.8	(42.6%)	4.5	(26.8%)	3.3	
Adjusted Diluted EPS (Rs.)	3.3	5.8	(42.6%)	4.5	(26.8%)	3.3	0.9%
No of Shared Diluted (mn)	226	226		226		226	
Margin Analysis %			Change in bps		Change in bps		Deviation in bps
EBIT margin	7.2%	10.1%	(283)	13.9%	(664)	7.1%	15
EBIDTA Margin	11.3%	14.2%	(293)	18.4%	(711)	11.4%	(7)
NPM	6.2%	11.3%	(510)	11.0%	(471)	6.4%	(18)
Adjusted NPM	6.2%	11.3%	(510)	11.0%	(471)	6.4%	(18)
Effective Tax Rate %	26.4%	27.2%	(80)	26.5%	(8)	26.5%	(13)
Cost Analysis %			Change in bps		Change in bps		Deviation in bps
Employee Cost/Net Sales	61.5%	61.7%	(19)	58.7%	284	64.9%	(339)
SG&A/Net sales	16.5%	15.3%	117	12.3%	417	15.0%	151

Source: Company, D&B Research

Valuation & Outlook

Zensar Technologies is currently trading at 15.3x / 10.6x FY23e/FY24e EPS respectively.

Q1FY23 was a disappointing quarterly performance in terms of revenue growth and margin performance. Weak macroeconomic trends coupled with supply side pressures took a toll on the company's performance. HTM and Consumer Services saw muted growth due to deferral and cut in client spends and cost of delivery increased. Expect Q2FY23 margins to also remain under pressure on the back of pending wage hike.

Attrition is at its highest levels – indicating cost of retaining employees and cost of delivery is going to remain escalated in the near future.

We expect H1FY23 to be a gestation period and Strategy Refresh to yield results from H2FY23 onwards.

Given that sentiments globally - more specifically in the Indian IT Services market - have weakened which has dragged benchmark valuations as well as attrition issues at the company level which has increased cost of delivery and caused margin deterioration – which may take a quarter or two to ease off, we reduce our target multiple from 17x FY24e to 14x FY24e and maintain our BUY rating with a reduced target price of INR 309.

Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	41,817	37,814	42,437	50,332	56,157
<i>Growth %</i>	5%	-10%	12%	19%	12%
Less:					
Employee benefits expense	23,474	21,526	25,749	31,252	35,237
Subcontracting costs	6,588	5,233	6,173	7,726	7,078
Purchase of traded goods	1,525	1,134	1,102	1,974	2,203
Other expenses	4,850	2,803	2,847	3,400	3,794
Total Operating Expenditure	36,746	30,966	35,871	44,352	48,312
EBIDTA	5,071	6,848	6,566	5,979	7,845
<i>Growth %</i>	6%	35%	-4%	-9%	31%
Less: Depreciation	1,592	1,747	1,849	1,960	2,003
EBIT	3,479	5,101	4,717	4,019	5,842
<i>Growth %</i>	-11%	47%	-8%	-15%	45%
Interest Paid	605	535	354	256	244
Non-operating Income	884	255	1,377	965	1,188
Profit Before tax	3,758	4,329	5,740	4,728	6,785
Tax	1,042	1,260	1,524	1,247	1,789
Net Profit before Minority	2,716	3,070	4,216	3,481	4,996
Net Profit	2,716	3,070	4,216	3,481	4,996
Adjusted Profit	2,716	3,561	4,216	3,481	4,996
<i>Growth %</i>	-15%	31%	18%	-17%	44%
Reported EPS	12.0	15.8	18.7	15.4	22.1
<i>Growth %</i>	-15%	31%	18%	-17%	44%
Adjusted EPS	12.0	15.8	18.7	15.4	22.1
<i>Growth %</i>	-14.8%	31.1%	18.4%	-17.4%	43.5%

Key Ratios					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
EBIDTA (%)	12.1%	18.1%	15.5%	11.9%	14.0%
NPM (%)	6.5%	8.1%	9.9%	6.9%	8.9%
RoE (%)	13.5%	16.1%	16.9%	12.5%	16.1%
RoCE (%)	14.1%	19.0%	16.8%	12.8%	16.9%
Tax Rate %	27.7%	29.1%	26.6%	26.4%	26.4%
Book Value Per share (Rs.)	92.5	103.6	117.7	129.3	145.9

Valuation Ratios					
	FY20	FY21	FY22E	FY23E	FY24E
P/E (x)	19.6x	17.3x	12.6x	15.3x	10.6x
EV/EBITDA	10.1x	6.8x	6.4x	6.6x	4.6x
P/BV (x)	2.5x	2.3x	2.0x	1.8x	1.6x
Market Cap. / Sales (x)	1.3x	1.4x	1.3x	1.1x	0.9x

Balance Sheet (Consolidated)

YE March(Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	451	451	452	452	452
Reserves & Surplus	20,112	22,786	26,159	28,770	32,516
Equity	20,900	23,423	26,611	29,222	32,968
Net Worth	20,900	23,423	26,611	29,222	32,968
Others	486	187	547	657	736
Capital Employed	28,696	27,394	31,286	33,834	37,747
Assets					
Gross Block	2,902	2,741	3,291	3,791	4,291
Less: Depreciation	1,608	1,607	2,011	2,440	2,878
Net Block	1,294	1,134	1,280	1,351	1,413
Investments	794	1,846	1,579	1,816	1,991
Current Assets					
Sundry Debtors	6,656	5,888	6,743	7,860	8,770
Current Investments	2,670	3,633	2,546	3,020	3,369
Cash and Bank Balance	5,166	6,986	11,366	14,028	17,255
Loans and Advances	2,976	1,895	2,971	3,020	3,369
Total Current Assets	20,576	19,928	26,172	30,445	35,291
Less: Current Liabilities					
Sundry Creditors	2,650	2,201	2,752	3,524	3,971
Operating Other Current Liabil	3,270	3,347	3,734	4,532	5,109
Total Current Liabilities	7,260	6,940	8,008	9,815	11,015
Miscellaneous Assets	1,245	1,230	1,230	1,230	1,230
Capital Applied	28,696	27,394	31,286	33,834	37,747

Cash Flows (Consolidated)

YE March (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
PAT	2,716.0	3,069.8	4,216.0	3,481.1	4,995.8
Less: Non Operating Income	(884.2)	(254.5)	(1,377.0)	(964.7)	(1,187.7)
Add: Depreciation	1,591.8	1,747.1	1,849.0	1,960.0	2,002.8
Add: Interest Paid	605.1	535.3	354.0	256.0	244.5
Operating Profit before WC Changes	4,028.7	4,606.7	5,042.0	4,732.4	6,055.4
(Inc)/Dec in Current Assets	668.9	1,527.9	(1,865.0)	(1,609.9)	(1,619.2)
Inc/(Dec) in Current Liabilities	(837.0)	(319.4)	1,068.1	1,806.9	1,199.6
Changes in Inventory	43.4	941.2	0.0	0.0	0.0
Net Cash Generated From Operations	3,904.0	6,756.4	4,245.0	4,929.4	5,635.8
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	(1,859.4)	(1,587.0)	(1,994.7)	(2,031.4)	(2,064.9)
Net Cash Flow from Investing Activities	(500.9)	(1,210.9)	1,157.9	(1,250.8)	(995.2)
Cash Flow from Financing Activities					
Dividend Paid	(632.8)	(813.6)	(843.2)	(870.3)	(1,248.9)
Net Cash Flow from Financing Activities	(1,680.2)	(3,775.4)	(1,023.2)	(1,016.2)	(1,413.7)
Net Inc/Dec in cash	1,722.9	1,770.1	4,379.7	2,662.4	3,226.9
Opening Balance	3,259.1	5,165.7	6,986.2	11,365.9	14,028.3
Closing Cash	4,982.0	6,935.8	11,365.9	14,028.3	17,255.1

Free Cash Flow Statement

YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
EBITDA	5,071	6,848	6,566	5,979	7,845
FC Investment	-328	784	216	-454	-482
WC Changes	-125	2,150	-797	197	-420
Depreciation Tax Shield	441	508	491	517	528
Tax Expenses	1,042	1,260	1,524	1,247	1,789
FCF	6,101	11,550	8,000	7,486	9,261

Source: Dalal & Broacha Research, Company

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